

- 3) State the central ideas of the Report to the People on Employment 2010.

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22.8 LET US SUM UP

The population of any area, region or country is made up of three components: employed, unemployed and non-workers. Employed and unemployed together make up of labour force. Three reference periods (i.e. a year, a week and a day) identify the nature and extent of employment and unemployment in the economy. Based on these three reference periods, three approaches are adopted in estimating the status of employment and unemployment – Current Daily Status (CDS), Current Weekly Status (CWS) and Usual Principal Status (UPS). Several key employment and unemployment indicators include Labour Force Participation Rates (LFPR), Worker Populations Ratio (WPR), Unemployment Rate (UR), etc. Labour force participation rate as percentage of population has been fluctuating over a period of time. From 1983 till 2018-19, the LFPR for male (urban as well as rural) and urban female has increased while the rate has declined for rural female. While in terms of WFPR, the rate has increased for male (both urban and rural) and urban female, while it has decreased for rural female.

As per the Periodic Labour Force Survey 2018-19, the unemployment rate for both males and females is not only on the rise in the country but is at an all-time high. Besides this, the ability of the economy to absorb addition to the working age population either in employment or in education has practically declined since 2005. Also, the economy is suffering from the loss of women's labour force and work force. As regards the sectorial pattern of employment, the proportion of workforce engaged in primary sector has been falling, whereas, there has been rise in the share of workforce engaged in the secondary and the tertiary sector. An increase in the share of unorganised employment is another issue the Indian economy is facing. In addition to this, there has been increase in the casualisation of the work force as reflected by the rise in the proportion of the workers moving towards casual employment.

Employment continues to be high on the policy agenda reflected from labour law reforms and the various policy initiatives by the Government. Also, Ministry of Labour and Employment is functioning to ensure improving life and dignity of labour force of the country. Nevertheless, the complexity associated with the issue of employment need to be considered while framing the employment policy framework.

22.9 TERM-END EXERCISES

- 1) Distinguish between labour force and work force. How are the employed workers identified and enumerated in India? Also examine the dimensions of unemployment in India.
- 2) State the various dimensions of deterioration in the quality of employment in India. Also examine the policy implications of slowdown in women's workforce participation rate.
- 3) Critically evaluate the employment policy embodied in the eleventh Five Year Plan. Also state the conditions necessary for the success of this policy.

22.10 KEY WORDS

Underemployment	: Underemployment means people who are employed for only part of a day or part of the week and unemployed for the remainder of the day or the week. This is underemployment that is visible.
Incidence of Unemployment	: It is the share of the total unemployed persons in total labour force, expressed in percentage terms.
Human Capital Endowment	: Human Capital Endowment is the capability, innate and acquired, of a person to earn income for living, which is over and above the costs involved in carrying out that effort.
Own-account Worker	: Own-account worker is another name for self-employed workers.
Usual Principal Status Activity (UPS)	: An activity on which, a worker is engaged for a relatively longer period during one year, preceding the date of survey.
Employment Elasticity	: The ratio of employment growth to the growth of National Income.

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22.12 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) Employment and unemployment are measured by several criteria viz, (i) Usual Principal Status, (ii) Usual Principal and Subsidiary Status, (iii) Current Weekly Status (CWS), (iv) Current Daily Status
- 2) Yes, because it gives the estimate of the extent of under-utilisation of the labour force in terms of number of days. It is, therefore, made up of both open unemployment and visible under-employment.
- 3) One who participates in any economic activity is a worker. One who is not available for any worker is a non-worker. Unemployed is a worker who seeks or looks for work or is available for work.

Check Your Progress 2

- 1) See Section 22.4 and 22.5
- 2) No, the decade of 1990s and 2000s have witnessed high growth without corresponding growth of employment.
- 3) Increasing share of unorganised sector in employment, higher proportion of casual workers in employment, rising number of workers, etc.
- 4) See Section 22.5

Check Your Progress 3

- 1) See Section 22.7
- 2) See Section 22.7
- 3) See Sub-section 22.7.1

UNIT 23 SOCIAL SECURITY MEASURES IN INDIA

Structure

- 23.0 Objectives
- 23.1 Introduction
- 23.2 Social Security, Social Protection, and Social Protection Floor
- 23.3 Objectives of Social Security
- 23.4 Approaches to Social Security
 - 23.4.1 Social Insurance
 - 23.4.2 Social Assistance
- 23.5 Social Security Schemes in India
 - 23.5.1 Social Insurance
 - 23.5.2 Social Assistance
- 23.6 Existing Provisions: Problems and Issues
- 23.7 The Code on Social Security, 2019
- 23.8 Let Us Sum Up
- 23.9 Term-end Exercises
- 23.10 References
- 23.11 Key Words
- 23.12 Answers or Hint to Check Your Progress Exercises

23.0 OBJECTIVES

After going through this unit, you will be able to:

- examine the meaning of social security, social protection, and social protection floor;
- discuss the approaches to Social Security;
- analyse the different acts and programmes launched by the Government on Social Security;
- follow the functioning of the different programmes related to social security;
- assess the Social Security Code and its benefits; and
- discuss the policy measures in perspective and recognise the gaps.

23.1 INTRODUCTION

Uncertainties on account of unemployment, illness, disability, death and old age are experienced by all the people across the world. These inevitable

facets of life are said to be threats to one's economic security. In a society, the livelihood of an individual is made up of very diverse elements which taken together constitute the physical, social, cultural and political universe where he lives. Whenever an individual who lives in a society and faces the uncertainties threatening the bare necessity to sustain a minimum livelihood, he needs some help from the society, may it be the family, or any government or private institutions. The term "social security" refers to any programme that aims to help individuals faced with such situations. Such people include the poor, the elderly, anybody who is physically disabled, and the mentally challenged. The International Labour Organisation (ILO) defines Social Security as "the security that society provides through appropriate organisation against certain risks to which its members are perennially exposed". These risks are essentially contingencies against which an individual cannot effectively provide by his own ability or foresight alone or even in private combination with his fellows.

23.2 SOCIAL SECURITY, SOCIAL PROTECTION, AND SOCIAL PROTECTION FLOOR

In common parlance, the terms social protection and social security are used interchangeably. However, in development literature the two terms are defined differently, although with some common characteristics.

Social protection is a broader concept and includes both protective and promotional measures. Protective measures are those measures which are directed towards providing safety against risk and vulnerability. Promotional measures are those measures which are aimed at increasing well-being and livelihood conditions of the people. The policies and procedures included in social protection involve five major kinds of activities:

- i) labour market policies and programmes,
- ii) social insurance programmes,
- iii) social assistance,
- iv) micro and area-based schemes, and
- v) child protection.

In a nutshell, the social protection hovers around the promotion of economic strength, protection of the deprived sections, prevention from external shocks and diminution of people's exposure to risks, and enhancement of their capacity to protect themselves against hazards and interruption/loss of income. On the other hand, Social security is a traditional concept and includes measures aimed at providing safety protection during risk and vulnerability against poverty, old age, disability, sickness, orphanage, etc.

The International Labour Organisation (ILO), a specialised agency of the UN though it pre-dates the UN, has been working for the welfare of labour since 1919 through its Member-States. It holds certain conventions whereby signatory member-states implement agreed-upon agenda. It can also make

recommendations which do not bind member-states which however, consider the merit of a recommendation vis-à-vis its capacity. Two flagship conventions / recommendations set by ILO for the extension of social security are: (i) Social security (minimum standards) convention, 1952 (No. 102), and (ii) Social protection floors recommendation, 2012 (No. 202).

The Social Security (Minimum Standards) Convention, 1952 (No. 102), establishes minimum standards for all nine branches of social security. These branches are:

- medical care;
- sickness benefit;
- unemployment benefit;
- old-age benefit;
- employment injury benefit;
- family benefit;
- maternity benefit;
- invalidity benefit; and
- survivors' benefit.

The minimum standards of the Convention for all the nine branches relate to the percentage of the population protected by social security schemes, the level of the minimum benefit to be secured to protected persons, as well as to the conditions for entitlement and period of entitlement to benefits. It also lays down that social security schemes be administered on a tripartite basis, which guarantees and strengthens social dialogue between Governments, employers, and workers.

ILO Convention 102 does not include the principle of universality and does not prescribe how to reach these objectives but leaves certain flexibility to the member state. As per this convention social security grows and evolves over time. Social security policies should reflect countries' social and cultural values, their history, their institutions and their level of economic development.

By the year 2012, the majority of countries had social security schemes established by law covering all or most areas, albeit in many cases including India only for a minority of their populations. After the economic crisis of 2008, UN recognised the fact that billions of people who have no social protection were hit harder. It shows that extension of legal coverage does not in itself ensure either the effective coverage of the population or improvements in the quality and level of benefits. Realising the importance of human right to social security across the board, ILO has made certain floor recommendations in 2012. Called as social protection floors recommendation, 2012 (No. 202) is the first international instrument that explicitly recognises the triple role of social security as a universal human right, an economic necessity and social necessity. It calls upon the States to achieve universal coverage with at least minimum levels of protection through the implementation of Social Protection Floors as a matter of priority; and to progressively ensure higher levels of protection.

National Social Protection Floors comprise four basic social security guarantees (BSSGs) that ensure effective access to essential health care and basic income security (BIS) at a level that allows people to live in dignity throughout the life cycle. The four BSSGs are:

- i) Access to essential health care, including maternity care;
- ii) BIS for children;
- iii) BIS for persons of working age who are unable to earn sufficient income, in particular in cases of sickness, unemployment, maternity and disability;
- iv) BIS for older persons.

Government, employer and worker delegates of the ILO's 185 member States adopted this social protection floors recommendation, 2012 (No. 202) nearly unanimously. India was part of the agreement and an Indian expert was part of ILO Expert group.

Check Your Progress 1

- 1) What do you mean by the term 'Social Security'?

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- 2) What is the distinction between social protection and social security?

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- 3) Which activities are covered under social protection and social security?

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- 4) Which activities are covered under social protection?

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